



SAN MIGUEL COUNTY Housing Code Update

Final Code Audit Report and Recommendations

(DRAFT – July 2026)

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Project Overview

San Miguel County has undertaken a comprehensive land use code audit and update to identify and remove regulatory barriers that constrain housing development in unincorporated areas. The San Miguel County Housing Code Update, funded through Colorado’s Proposition 123 Local Planning Capacity Grant, will assess current zoning regulations, development standards, and permitting processes to identify where unnecessary complexity, costs, or delays prevent housing production and adopt changes that help accelerate affordable housing production.

This project implements key recommendations from the East End Master Plan (adopted June 2024) and other community planning efforts. The goal is to enable more housing choices while

preserving community character. If this project is successful, the region will be better equipped to create sufficient inventory, with flexibility in deed restrictions that allow mobility as people's needs change (relating to size, location, type, design, and accessibility).

The engagement is designed to be transparent about trade-offs: streamlining development processes may mean less lengthy review, while maintaining community character may mean some regulations stay in place.

With a projected countywide need for over 1,100 housing units by 2030 and nearly half of all workers in the county commuting more than 25 miles to work, this effort directly addresses the region's housing supply shortage by making it easier, faster, and more cost-effective to build housing of all types.

The San Miguel County Housing Code Update builds on experience with community housing initiatives to develop community-supported regulatory reforms. The comprehensive code audit will review all housing-related regulations, including the Community Housing zone district, to identify and address barriers to housing development. This project also meets the Proposition 123 "Fast Track Approval" requirement, positioning the County to access state funding for affordable housing.

How to Use This Document

This document has been prepared by the consultant team for San Miguel County staff, officials, and stakeholders to review. Recommendations are based on existing policies in the San Miguel County Land Use Code, the East End Master Plan, and the Wright's Mesa Master Plan, community member and staff feedback recorded during listening sessions in October 2025, and the consultant team's case study research of peer communities and understanding of best practices.

It is intended that planning staff will use the information within the document to make recommendations to the Planning Commission and the Board of County Commissioners for discussion and potential code adoption.

Community Engagement Summary

This section summarizes high-level themes, ideas, and recommendations heard throughout the San Miguel County Housing Code Update project which included the following touchpoints:

- **Community Listening Sessions (October 2025):** Approximately **56** individuals were directly engaged through online surveys, small group sessions, one on one meetings, and open office hours. We heard from full-time San Miguel County residents, developers, residents of affordable housing, legal professionals, real estate finance experts, representatives of local nonprofits, employers, and other community members that want to help make workforce housing easier to build in the County.
- **Stakeholder Strategic Roundtable (SSR) Meetings:** A 12-member SSR was selected by the Board of County Commissioners by way of an application process in August 2025. Six meetings were held in October and December 2026, and January, March, April, and

June 2026 **[update with final number]**. Meetings built on one another with the initial meeting being an opportunity to define priorities for the project and subsequent meetings discussing the proposed recommendations in detail.

Outreach Goals

The purpose of these listening sessions was to better understand the challenges and successes of affordable workforce housing development in San Miguel County. The following questions were presented to attendees to guide these conversations:

- How do current development regulations affect housing costs and availability?
- What are the main regulatory barriers to building more housing?
- How do permitting timelines and processes impact housing development feasibility?
- What infrastructure constraints limit housing development in different areas?
- What regulatory barriers have you encountered in the development process?
- What specific code provisions make development unnecessarily difficult or expensive?
- What concerns do you have about potential code changes in your area?
- How can we streamline processes without compromising appropriate review?
- What lessons should we learn from past housing development efforts in the county?

Key Themes of Community Conversations:

Although participants represented a wide range of perspectives and professional backgrounds, consistent themes emerged across discussions. These themes reflect broad agreement on the County's housing challenges and opportunities:

Overall Housing Needs

Participants uniformly agreed that housing affordability and availability have become critical challenges affecting the local workforce, families, and economic sustainability. Employers across sectors cited the lack of attainable housing as a major barrier to hiring and retention. Developers and builders expressed that even projects intended for local workers often face excessive costs or uncertainty due to permitting complexity and infrastructure limitations.

Community members emphasized the need for a more flexible, efficient code structure that supports a broader range of housing types, particularly those affordable to middle-income earners. Many noted that current regulations inadvertently discourage smaller scale "missing middle" projects that could help fill workforce housing gaps. The SSR group also noted that the LUC could recognize and provide provisions for seasonal employees in San Miguel County that live in campers, RVs, and vans.

Infrastructure and Land Availability

Infrastructure constraints—especially water availability—were repeatedly identified as a major barrier to housing development and key consideration for code changes. Participants expressed concerns that existing water, road, and service capacities in some areas are insufficient to support additional growth. These constraints are compounded by the County's topography and dispersed development pattern.

Community members recommended that future code and infrastructure planning prioritize new housing near existing services, where infrastructure and transit access can better support increased density. Aligning infrastructure investment with housing goals was viewed as critical to improving long-term feasibility.

Development Review Process

Nearly all participants mentioned that the current development review and permitting process is lengthy and unpredictable. Many noted that it is difficult to build small-scale or “missing middle” housing types such as duplexes and multi-family homes. More dense affordable housing developments are even more difficult to build because of the requirement to go through the PUD process. This additional layer of review increases costs through significant entitlement delays and uncertainty, discouraging private investment in workforce housing.

Community members expressed a strong desire for a more predictable and transparent process with clear submittal requirements and review timelines. They also supported the creation of a streamlined “minor subdivision” or simplified review track for small-scale projects that meet established design and infrastructure standards, as well as streamlining review processes for eligible affordable housing developments.

Community Housing Zone and Density

Many participants expressed concerns about the implementation of the Community Housing (CH) zone. While many supported the intent of providing more opportunities for workforce housing, some felt that the current density allowance of 20 dwelling units per acre is excessive for land in the unincorporated county.

Community members recommended that the County clarify the zone’s intent, criteria, and applicability—potentially offering a range of density options based on location, infrastructure capacity, and compatibility with surrounding land uses. Some participants also suggested that workforce housing goals could be achieved more effectively through incentives, such as density bonuses or fee reductions.

Regional Coordination and Differences

Community members emphasized the importance of regional coordination between the County and its municipalities to ensure that workforce housing efforts are aligned and equitable. There was a strong desire to define roles and responsibilities more clearly, particularly regarding where different types of housing should be located and how infrastructure costs should be shared.

Distinct differences in perspective emerged between the eastern and western portions of the County:

- **East End (Telluride / Mountain Village):** Participants expressed frustration about limited workforce housing progress, skepticism toward the CH zone, and concerns about high density, water availability, and growth pressure.
- **West End (Norwood, Placerville, Wright’s Mesa):** Participants in these areas felt that they are being asked to absorb growth generated by the East End, with particular

emphasis on infrastructure limitations and the desire to maintain agricultural and rural character.

Incentives and Fee Structure

Community members expressed interest in shifting away from restrictive requirements toward more developer incentives that make workforce housing financially viable. Several participants described the current employee housing mitigation fee structure as unclear or inconsistent, suggesting that a review of the methodology could help improve transparency and fairness.

Developers and builders indicated that fee reductions, density bonuses, or expedited review could meaningfully improve project feasibility, especially for small or mid-sized workforce housing developments. Clear deed restriction frameworks and well-defined affordability requirements were also seen as critical to maintaining long-term affordability.

Housing Action Planning

(outside the scope of the San Miguel County Housing Code Update)

While this effort lays the essential groundwork that may inform a Housing Action Plan under SB24-174, it does not fulfill SB24-174 requirements. The County must still complete a separate Housing Action Plan by January 1, 2028, to comply with that statute. The following list includes broader suggestions for housing action planning that came up during the listening sessions.

Financial Incentives

Interest was expressed in adjusting affordable housing mitigation fees, offering fee waivers, and exploring property tax reductions for deed-restricted units. Some participants suggested revisiting Transfer of Development Rights (TDR) programs as a potential local funding or land management tool (see 5A-B. *Considerations for a Transfer of Development Rights Program*).

Programs

Community members highlighted interest in programs that incentivize accessory dwelling unit (ADU) construction, similar to Durango's ADU rebate or Vail's Lease to Locals program. Other suggestions included creating temporary or seasonal housing options for local workers, rehabilitation programs for substandard housing, and preservation strategies for existing housing stock.

Revenue Generation

Ideas for funding future housing initiatives included a transfer fee tied to sales tax, an "empty homes" tax, and potential airport landing fees dedicated to workforce housing programs.

Public-Private Partnerships

Participants noted that developers and employers are likely willing to partner on workforce housing projects if processes are clearer and timelines are predictable. Additional opportunities were identified for HOA participation, Low-Income Housing Tax Credit (LIHTC) projects, and employer-assisted housing efforts.

Existing Code Framework

The San Miguel County Land Use Code (LUC) is the regulatory framework governing all development in unincorporated areas. It consolidates decades of land use policy into a comprehensive system and is updated from time to time as needed. Understanding how the current code works—and where it creates barriers—is essential to developing effective reforms.

How the Code is Organized

The LUC is structured as seven articles, each serving a distinct but complementary function within the county's regulatory framework. The code divides its content into two main categories: the Core Framework (Articles 1-4) and Development Standards (Articles 5-7).

Core Framework (Articles 1-4)

- Article 1 (Administration and Enforcement): This section establishes powers and duties of Boards, Commissions and staff. It describes the administrative structure, assigns authority to the Planning Director, provides enforcement mechanisms, outlines code violation procedures, and details of appeals processes for administrative and Planning Commission decisions.
- Article 2 (Land Use Policies): Article 2 forms the basis of the code by codifying county policies on housing, environmental protection, infrastructure, and other foundational land use priorities. These are typically referenced when making findings on land use decisions.
- Article 3 (Procedures): Procedures for development review, permitting, and other land use actions are organized in Article 3, ensuring an orderly and transparent review process for applicants and stakeholders.
- Article 4 (Submission Requirements): Article 4 specifies all necessary application materials, maps, and documentation needed for various land use processes.

Development Standards (Articles 5-7)

- Article 5 (Standards): This article defines dimensional, use, and service standards according to zone districts, including guidance for special uses such as affordable housing. Zone District standards are contained in Section 5-3, while Affordable Housing regulations are in Section 5-13. Other sections cover Roads, Services, Improvements, PUDs and Subdivision standards, and standards for specific activities and uses.
- Article 6 (Natural Resources): Article 6 directs the management of resource extraction activities, renewable energy development, and environmental protection measures.
- Article 7 (Definitions): LUC terms are defined in Article 7 for consistent interpretation and application of code provisions.

Established Zones

Table 1: Current Zone Districts and Acronyms

Zone District Name	District Acronym	LUC Section
High Density	HD	5-302
Medium Density	MD	5-303
Low Density	LD	5-304

Zone District Name	District Acronym	LUC Section
Affordable Housing Planned Unit Development	AH (PUD)	5-305
Single-family Residential	R	5-306
Forestry, Agriculture, and Open	F	5-307
Heavy Commercial	HC	5-308
Low Intensity Industrial	I	5-309
Placerville Residential	PR	5-310
Placerville Commercial	PC	5-311
Mobile Home	MH	5-312
Park	P	5-313
Open Space	OS	5-314
Public	PUB	5-315
Scenic Foreground Overlay	SFO	5-316
Scenic View Plane	SVP	5-316
Planned Unit Development Reserve	PUDR	5-317
Rangeland Grazing	RG	5-318
Wright's Mesa	WM	5-319.1
Wright's Mesa Town Residential	WMTR	5-319.2
Wright's Mesa Light Industrial	WMLI	5-319.2
Wright's Mesa Rural Agriculture	WMRA	5-319.2
Wright's Mesa Rural Residential	WMRR	5-319.2
West End	WE	5-320
High Country Area	HCA	5-321
Low Density Residential	LDR	5-322
Mixed Use Development	MXD	5-323
Community Housing	CH	5-324

What's Working Well

The following summarizes initial findings of what is working well in the current LUC. Many of these provisions can carry over to other areas of the code or be further expanded to continue to expand upon options to encourage attainable housing in San Miguel County.

- Accessory Dwelling Units (ADUs) and caretaker units are currently eligible for administrative approval in the most prevalent residential districts, ADUs in LD and MD, and caretaker units in F.
- The Community Housing zone provides a path for higher density affordable housing development that can be approved more quickly than PUDs.
- Wright's Mesa zones integrate varied residential and hybrid uses.
- HC and I zones allow housing for employees on site.

- While PUDs are overused, this pathway does function as a flexibility mechanism to grant smaller lot sizes, duplexes, and other multifamily units.
- Height, open space, and setback standards are not overly restrictive in most cases.
- The code already has clear definitions for many non-traditional housing types.
- In some cases, the code applies different standards to projects based on sewer/water availability – these should be carried forward into any code updates.
- Cottage housing is a defined use with standards in the Wright's Mesa Town residential zone district.

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Identified Barriers

The following summarizes initial findings and potential areas for LUC updates. Each item highlights opportunities to improve efficiency, flexibility, and housing diversity within the County's regulatory framework. More detailed discussion of these topics is provided in the following section on preliminary recommendations to address specific barriers.

- **Lengthy Review Times:** Currently, many land use applications are reviewed by the BOCC and CPC. County could explore allowing more uses by right or with administrative review to reduce the number of applications reviewed by the BOCC and CPC. More efficient review processes would ensure more timely approvals and help reduce costs of housing construction. For affordable housing projects, the County has already addressed this barrier by adopting the Prioritized Housing Review process. However, review times should also be reduced for market-rate housing that can also serve the County's workforce, families, and older adults.
- **PUD Zoning:** The County is currently heavily reliant on Planned Unit Development (PUD) Zoning, which is a 5-step review process. The reliance on PUDs should be reduced by revising the LUC with new and updated standards for uses and developments to enable Administrative, One-Step or Two-Step review. Properties can no longer be rezoned to certain zone districts because the LUC limits those rezones to properties already zoned PUD-R. All land that was zoned PUD-R has been rezoned to other districts. The PUD-R zone states that it shall apply only to properties already so-zoned. This effectively precludes rezoning any properties to LD, MD, and HD.
- **Minimum Residential Lot Size:** The minimum lot size by right in most residential districts is 35 acres (without a PUD). Especially in the low density (LD), medium density (MD), and high density (HD), this lot size should be reduced.
- **Affordable Housing Incentives:** Currently, the code does not offer many financial or regulatory incentives for developers to build affordable and/or workforce housing. While more regulatory incentives could be introduced in the Code, other incentive programs (such as grants and revolving loans) could also be explored outside the scope of this project.
- **Missing Middle Housing Types:** Many 'missing middle' housing types such as duplexes, triplexes, and small-lot single-household dwellings are currently not allowed to be built in the unincorporated county without going through a PUD process. Accessory Dwelling Units (ADUs) are allowed under administrative approval in most residential districts, while caretaker units are allowed in the F zone and secondary dwelling units are allowed in the WM zone. Other housing provisions could help house the local workforce, including allowing more than two dwelling units on large lots, mixed-use allowances by right, cohousing, and creating spaces for tiny homes, alternative living spaces, and people living in campers/RVs/vans.
- **Organization:** Clear and consistent organization is important for developers to understand and apply the code to potential projects. Currently there are no standardized use tables, dimensional standard tables, and review process tables that

can be easily referenced. Terminology for uses and development standards may also be inconsistent between zone districts.

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Analysis and Recommendations

Executive Summary

The following pages include the specific analysis and recommendations on the priority considerations as identified by the project team and further supported by community members engaged with during phase 1 of the project. The specific topics addressed include:

- **Zoning and/or Density Adjustments**
- **Standards for Additional Workforce Housing Types**
- **Regulatory Incentives for Affordable Housing Development**
- **Options for Streamlined Application Procedures/Processes**
- **General Code Structure Enhancements**

In practice, many of these recommendations will influence each other to create more favorable conditions for developers to build housing that is affordable for the local workforce. The recommendations within each topic vary in scale, priority, and impact. Although this report segments the topics into their own sections it is important to realize that they are all interconnected in practice, and the recommendations may transcend a single topic when implemented.

The goal of this audit is to provide the County with the foundation to begin Code amendments that will promote the development of affordable workforce housing while preserving community character. The recommendations are not a fix-all solution to housing throughout the County, but rather a step in the right direction to enable more housing opportunities in the near and distant future.

Topics Not Considered at This Time

Following initial review of the Code, there were a number of topics proposed for consideration that were researched and discussed but ultimately not carried through as recommendations due to lack of support or feasibility at this time. Following is a list of those topics and a brief description of why they are not feasible at this time:

- **Adjust minimum parking requirements for all residential development:** *not proven effective in other communities and would compound current issues further.*
- **Incorporate campers, RVs, and vans as a standalone or accessory housing use:** *not enough community support at this time.*
- **Provide application fee reductions or waivers:** *development fees are already low, plan inspection fee cannot be waived, and sales and use tax cannot be waived.*
- **Provide incentives for deed-restricted ADUs:** *determined not to be an effective tool at this time.*
- **Reductions in open space requirements:** *open space preservation is a community priority.*
- **Adjust/revise the employee housing mitigation impact fee structure:** *would require further discussion with the housing authority.*

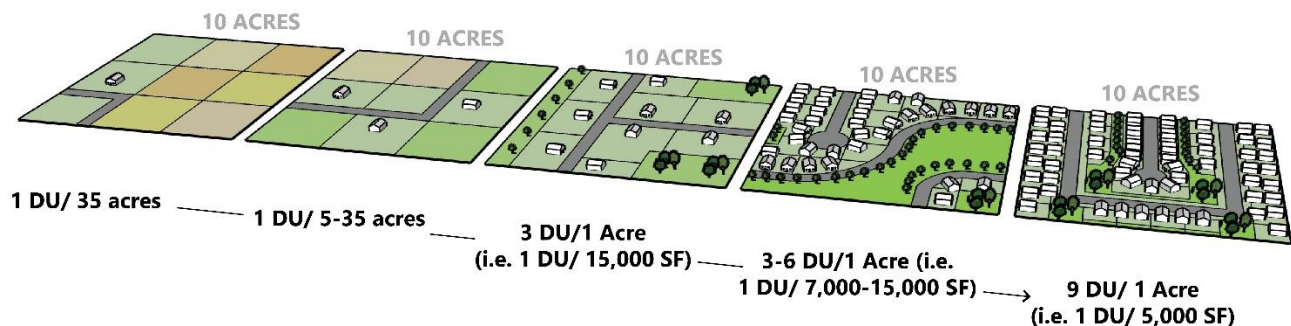
- **Develop a TDR program and integrate affordable housing as an incentive:** *not feasible at this time as this is a lengthy process that would require extensive research and development.*
- **Consolidate Residential Zones Intended for Lower Density:** *upon further investigation, it was determined that the each of the existing low density districts have a distinct purpose and should not be combined.*

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1. Zoning and/or Density Adjustments

While the Code guides development in patterns that the County deems appropriate, it can also lead to limitations that are inadvertently generating barriers to development of workforce and affordable housing. For example, current density allowances prohibit most workforce housing as a use allowed by right without lengthy PUD processes. Density allowances and minimum lot sizes are often cited as one of the main limiters to provision of affordable housing, especially in unincorporated counties and rural areas. Rural and unincorporated areas generally have larger minimum lot sizes, and allow for fewer residential units per property, largely to preserve the feeling of open space, allow for adequate separation of on-site wells and septic systems, and mitigate urban sprawl.

Community members consistently expressed concerns that increased density would lead to issues with existing infrastructure, especially water quality. All development applications require water rights demonstration (Section 5-801) and demonstrated water quality standards (Section 5-803) prior to approval, with local water providers instrumental in determining what can ultimately be built. Increasing the by-right density in residential zone districts can make it possible to create more diverse housing options in the areas that have the infrastructure to support them. These conversations are important to consider when looking at affordable housing and how a land use code may incentivize, or disincentivize, it. The graphic below depicts different residential densities across the same ten-acre parcel.



1A. Reduce Minimum Lot Sizes

Identified Barrier

Currently, most residential zone districts in San Miguel County require a minimum lot of 35 acres, with single-household dwellings as the main use listed as a use by right in the zone district standards sections of LUC Section 5-3. Higher densities require PUD approval. ADUs are allowed per administrative review in the Low Density, Medium Density, and High Density zone districts.

Recommendation

The County should consider eliminating the PUD requirement to develop lots smaller than 35 acres by establishing minimum lot sizes in the Low Density (LD), Medium Density (MD), High Density (HD), and Wrights Mesa Town Residential (WMTR) zone districts, and that match the minimum lot sizes allowed per PUD review. See *Table 2* below for specific proposed changes.

Table 2: Current and Recommended Lot Size Requirements – Proposed Changes

Zone District	Current Minimum Lot Sizes (by right)	Proposed Minimum Lot Size (by right)*
Low Density (LD)	35 acres	7 acres
Medium Density (MD)	35 acres	3 acres for well and septic; 6,000 sf if connected to public water and sewer
High Density (HD)	35 acres	2 acres for well and septic; 3,000 sf if connected to public water and sewer
Wright's Mesa Town Residential (WMTR)	5,000 sq. ft.	2,500 sf if connected to public water and sewer

*Subdivision approval required to create lots less than 35 acres per Colorado Statute and LUC Section 5-14.

Table 3: Current Lot Size Requirements with – No Changes Recommended

Zonie District	Current Minimum Lot Sizes (By right)	Proposed Density (By right)*
Low Density Residential (LDR)	35 acres	No Change
Single-Family Residential (R)	35 acres	No Change
Community Housing (CH)	Not specified	No Change
Affordable Housing Planned Unit Development (AH) (PUD)	35 acres	No Change
Wright's Mesa Rural Agriculture (WMRA)	35 acres	No Change
Wright's Mesa Rural Residential (WMRR)	As previously platted	No Change
Wright's Mesa Light Industrial (WMLI)	5,000 sq. ft.	No Change
Forestry, Agriculture, and Open Space (F)	35 acres	No Change
Placerville Residential (PR)	18,750 sq. ft.	No Change
Placerville Commercial (PC)	7,500 sq. ft. w/o sewer; 3,750 sq. ft. with sewer	No Change
Mobile Home (MH)	2 acres if unsubdivided; 0.5 acre if subdivided on water or sewer; 7,500 sq. ft. if subdivided and on water and sewer	No change
Mixed Use Development (MXD)	Not specified	No Change
High County Area (HCA)	35 acres*	No Change
West End (WE)	3 acres	No Change
Rangeland Grazing (RG)	35 acres*	No Change

**Exception for single-household dwellings per Open Land Protection (OLP) in LUC Section 5-1207*

1B. Adjust Density Allowances

Identified Barrier

The current code specifies the maximum number of dwelling units allowed by lot for each zone district with a minimum lot size. In the LD, MD, and HD zone districts, the density allowances through a PUD process align well with the intentions of the East End Master Plan. However, with minimum lot sizes of 35 acres paired with a density maximum of one dwelling unit per lot, the allowances in these districts *by right* do not align well with the East End Master Plan.

For context, the LD, MD, and HD zone districts make up a small fraction of land in the county, with no parcels currently zoned for High Density. Mountain Village was zoned HD when the PUD was approved, but it was removed from the County's land use maps when it incorporated. The 1989 Master Plan had very few parcels eligible for medium to high density development. The 2024 East End Master Plan allows the MD and HD zone district to be considered in limited areas in the east end of the County where infrastructure makes these densities more achievable.

Recommendation

It is highly recommended that the County increase the *by right* density allowance for the LD, MD and HD zone districts to the current PUD allowances, remove the PUD requirement (subdivision approval may still be required), and build in an additional density bonus for projects that achieve a certain percentage of deed-restricted workforce housing as defined in Section 3A. This will align with the adopted policy guidance in the 2024 East End Master Plan to allow for a moderate density of housing while still being an appropriate level of housing for the County. Providing density bonuses for projects that include a certain percentage of deed-restricted or targeted workforce housing can increase feasibility and reduce per-unit costs. See section 3A for more information on density bonus criteria

In addition to increasing select density allowances, it is highly recommended to adjust the 40 people/acre maximum density allowed through PUD in the HD Zone to be standardized as dwelling units (DU) per lot for consistency. Based on an average household size of 2.2 (San Miguel County Regional Housing Needs Assessment, 2025), 40 people/acre would roughly translate to about 15 DU / acre. See *Table 4 and 5* for current density allowances by right, by PUD, and recommended changes. The density bonuses outlined in the table below would apply to developments with 37% or more deed-restricted units. See Section 3A for alternative options to the density bonuses provided below.

Table 4: Current and Recommended Density Allowances – Proposed Recommendations No Changes Recommended

Zone District	Current Density Allowances (By right)	Maximum Density with PUD	Proposed Density (By right)	Density Bonus (25%)*	Density Bonus (35%)**	Density Bonus (50% + 10 ft height increase)***
Low Density (LD)	1 DU / 35 acres + 1 ADU	1 DU / 7 acres	1 DU / 7 acres	1 DU / 5.6 acres	1 DU / 5.2 acres	1 DU / 4.7 acres
Medium Density (MD)	1 DU / 35 acres + 1 ADU	1 DU / 3 acres	1 DU / 3 acres	1 DU / 2.4 acres	1 DU / 2.2 acres	1 DU / 2 acres
High Density (HD)	1 DU / 35 acres + 1 ADU	40 people/acre minimum; 80 people/acre maximum	15 DU / acre	19 DU / acre	20 DU / acre	22.5 DU / acre

*Development with 37% of the total units deed-restricted will qualify for a 25% density bonus over the by right allowed density

**Development with 38% - 50% of the total units deed-restricted will qualify for a 35% density bonus over the by right allowed density

***Development with a majority (51%+) of the total units deed-restricted will qualify for a 50% density bonus over the by right allowed density

Table 5: Current and Recommended Density Allowances – No Changes Recommended

Zone District	Current Density Allowances (By right)	Maximum Density with PUD	Proposed Density (By right)	Proposed Density Bonus
Community Housing (CH)	20 DU / acre	Not Specified	No Change	NA
Affordable Housing Planned Unit Development (AH) (PUD)	1 DU / 35 acres	15 DU / acre	No Change	NA
Low Density Residential (LDR)	1 DU / 35 acres	1 DU / 6-8 acres	No Change	NA
Single-Family Residential (R)	1 DU / 35 acres	1 DU / 9,375 sq. ft.	No Change	NA
Wright's Mesa Rural Agriculture (WMRA)	1 DU / 35 acres	Not Specified	No Change	NA
Wright's Mesa Rural Residential (WMRR)	1 DU / 35 acres	Not Specified	No Change	NA
Wright's Mesa Light Industrial (WMLI)	1 DU / 5,000 sq. ft. (8 DU/acre)	Not Specified	No Change	NA
Wright's Mesa Town Residential (WMTR)	1 DU / 2,500 sq. ft. for duplex (17 DU/acre)	Not Specified	No Change	NA
Forestry, Agriculture, and Open Space (F)	1 DU / 35 acres	1 DU / 35 acres	No Change	NA

Zone District	Current Density Allowances (By right)	Maximum Density with PUD	Proposed Density (By right)	Proposed Density Bonus
Placerville Residential (PR)	1 DU / 18,750 sq. ft.	Not Specified	No Change	NA
Placerville Commercial (PC)	1 DU / 3,750 sq. ft. (with central sewer service)	Not Specified	No Change	NA
Mobile Home (MH)	Not Specified	Not Specified	No Change	NA
Heavy Commercial (HC)	Not Specified	Not Specified	No Change	NA
Low Intensity Industrial (LI)	1 DU / 35 acres	Not Specified	No Change	NA
Mixed Use Development (MXD)	NA - PUD required	Not Specified	No Change	NA
High County Area (HCA)	1 DU / 35 acres + bonus per OLP	Not Specified	No Change	NA
West End (WE)	2 DU / 35 acres	Not Specified	No Change	NA
Rangeland Grazing (RG)	1 DU / 35 acres	Not Specified	No Change	NA

1C. Reduce Setbacks

Identified Barriers

Reducing lot coverage and setback standards for workforce housing projects can improve site efficiency and design flexibility while maintaining appropriate neighborhood scale. In the East End Master Plan, a recommended action is to “establish flexible front setback allowances that will encourage multi-family, mixed-use, and commercial developments that create a strong interaction with the street edge and support walkability”. Many of the dimensional standards in the current code already provide some increased flexibility for front setbacks through the PUD process, however, this project has identified that the County needs to reduce reliance on PUDs to ensure more predictability in development.

Recommendation

It is recommended to adopt setback allowances in the LD, MD, and HD zones that align with setbacks allowed under the PUD process in these zone districts. Once these setback allowances are adopted, the County should remove the current setback limits outlined for the PUD process so that these standards can be determined on a case-by-case basis, if different than the by right setback.

Table 6: Current and Recommended Setback Requirements – Proposed Recommendations

Zone District	Existing Setback (Front, Rear, Side)	Proposed Change (Front, Rear, Side), not including building envelope	Code Section to Update
Low Density (LD)	50', 50', 50'	25', 25', 25'	5-304G.II Setbacks

Zone District	Existing Setback (Front, Rear, Side)	Proposed Change (Front, Rear, Side), not including building envelope	Code Section to Update
Medium Density (MD)	30', 20', 20'	20' (10' for alley loaded lots), 20', 12.5'	5-303G.III Setbacks
High Density (HD)	30', 30', 30'	15' (10' for alley loaded lots), 15', 12.5' 15' perimeter for multi-household dwellings	5-302F.II Setbacks
All Other Zones	Varies	No Change	NA

1D. Allow Multiple Dwelling Units on Large Lots

Identified Barriers

By allowing multiple units on large lots, the code can help increase housing supply, and provide more options for families, seniors, and changing household needs. Relaxed standards could address requirements such as minimum lot size, setbacks, or density limits, provided that each dwelling is adequately served by infrastructure and that the overall site maintains compatibility with surrounding uses. This approach responds to modern housing demands and leverages existing land resources.

For rural properties with domestic well permits, the Division of Water Resources may allow up to three units to be served by the well. This presents an opportunity to allow a 2nd Caretaker or Secondary unit on these properties. The separation requirement between the Caretaker or Secondary unit and the primary dwelling could be relaxed, in exchange for deed restriction of the caretaker and secondary units and limiting the size of the principal dwelling.

Recommendations

It is recommended to allow one (1) Caretaker unit per 35-acre parcel as a use by right in the F zone district and one (1) additional ADU by administrative review. It is recommended to allow one (1) Secondary unit on a parcel 5 acres or larger in the WM and WMRA zone districts as a use allowed subject to administrative review, and to allow two (2) Secondary units per 35-acre or larger parcel in the WM and WMRA zone districts, also subject to administrative review. See redlined language in Appendix A, and additional recommendations for ADUs in Section 2D.

1E. Redefine the Community Housing Zone

Identified Barriers

The Community Housing (CH) zone was created in 2021 with the intent of facilitating affordable housing development. The standards themselves are strong and could serve as a model for reform – including high density allowances, parking maximums, housing diversity requirements, net-zero energy encouragement, no lot size minimums, and allowing missing middle housing types. However, this zone still requires discretionary Planning Commission and BOCC review, which can take upwards of 3-6 months and may not be compatible with *Prioritized Housing Review* as proposed in Section 3A. Many of the density and dimensional standards adjustments proposed in other zone districts throughout this audit report make the

CH zone less critical for higher density housing as they will provide the opportunity for development by right at similar densities to the CH zone district. However, those other zone districts do not require deed-restricted affordable housing development at the same level as the CH zone; in that way, the CH zone remains valuable as an alternative to the AH-PUD zone.

Height limitations have been noted as a factor in achieving optimal development in the CH zone district. San Miguel County currently limits building height to 35 feet (approximately three stories). While this is appropriate for the lower-density districts such as R, LD, and LDR, allowing additional height or density for developments that provide affordable units and multi-family housing could encourage projects in suitable areas with existing infrastructure and services. Buildings with larger footprints are penalized because of the way height is measured, especially if the building site is sloped. In the CH zone, additional height is allowed as an incentive for 'net-zero' development, which means producing enough energy through the use of measures such as solar panels, passive design, and other means to offset the energy consumed on an annual basis. This has been identified as a potential barrier to affordability given the extra construction costs to achieve 'net-zero' status. For context, the MXD zone allows additional height for affordable housing in excess of the required number of units. Encouraging net-zero development continues to be a goal of the County and should continue to be incentivized.

Recommendations

It is recommended that the following items be addressed in the CH zone district per the proposed redlined text in Appendix A:

- Revise purpose statement to better reflect community priorities;
- Allowing cohousing units; and
- Allow development up to 40 feet for multi-family buildings and up to 45 feet in height for development with more deeply affordable restrictions, in addition to development that will be net zero on an annual basis.

2. Standards for Additional Workforce Housing Types

As standards for additional workforce housing types are considered, it's important to evaluate their regional impacts and potential locations. Beyond the CH zone, residents in the west and east ends of the county have expressed frustration about where different housing types should be located and how infrastructure costs should be shared, especially given ongoing growth pressures and infrastructure constraints. However, not all affordable housing development needs to be high density, multi-family development – lower density options in most cases are more appropriate for the unincorporated county, while still allowing more diverse types than one single-household dwelling on a 35-acre lot.

It is strongly recommended to expand the allowance for additional housing types in more residential zone districts (including permitting duplexes, live/work units, cottage housing, and cohousing) to help address the need for affordable and workforce housing in the county. Allowing these housing types through an administrative review process, rather than the lengthy and discretionary PUD approval, can significantly reduce project timelines and costs, responding directly to feedback regarding delays and barriers in the existing system. Under the current framework, the PUD process can take twelve months to two or more years, requires multiple public hearings, and offers no by-right approval path for multifamily housing in the higher density zones. Streamlining the process for approval of a wider range of housing types in more districts will provide much-needed predictability, incentivize innovative and attainable housing options, and promote housing feasibility for residents and developers.

2A. Update Household Definitions

Identified Barriers

The current code combines townhomes into the definition of multi-family dwelling but they are distinctly different. A townhome is typically permitted as a single-family dwelling attached to other single-family dwellings side by side. A multi-family dwelling is typically permitted as a single building housing individual dwelling units or apartments.

Recommendations

It is recommended to separate the household definitions to establish 4 separate housing types and group them in Article 7 all together as a “dwelling”:

- Duplex dwelling
- Single-household attached dwelling (Townhomes)
- Detached single-household dwelling
- Multi-household dwellings (apartments or condominiums)

It is also recommended to add a definition for *cohousing* that distinguishes it from *rooming houses*. The key distinction is that a rooming house is based on the rental of individual sleeping rooms, often with transient or unrelated occupants and shared facilities, whereas cohousing is an intentionally planned residential community where residents have their own sleeping and sanitation facilities and share common amenities and spaces, including a shared primary kitchen facility.

The definition of accessory dwelling unit includes standards and metrics that should be relocated to specific use standards, therefore an updated definition is being recommended in Appendix A.

All new or updated use terms will need to be updated in Article 5, Section 5-3, zone District Standards as well as anywhere else that the dwelling types are referred to. See Appendix A for redlines of Article 7.

2B. Expand Housing Type Use Allowances

Identified Barriers

Expanding by-right allowances for a broader range of housing types represents one of the most straightforward and effective ways to reduce regulatory barriers to housing development. In the current code, most housing options beyond single-household detached dwellings require discretionary review processes that add time, cost, and uncertainty for applicants. Community feedback identified these requirements as a significant obstacle to housing choice and affordability. Allowing compatible housing types through streamlined approval processes is a common best practice used by communities across the country to increase housing supply, support attainable housing opportunities, and provide a wider range of housing options while maintaining neighborhood character.

Recommendations

It is recommended to change the use allowances to allow for Duplex and Single-household Attached (townhomes) wherever single-household detached home types are allowed, provided that the project meets requirements for density allowances and review standards for public services, water supply, wastewater treatment, road access, wildlife friendly fences, environmental impacts, scenic views, and maintenance plans.

Text in black represents current allowances with proposed new text in red and text to be removed in ~~strikeout text~~. The proposed changes will also need to be made to LUC Section 5-3: - Zone District Standards.

Table 7: Current and Recommended Housing Type Allowances – Proposed Recommendations

Zone District	By Right	Admin Review	1-Step	2-Step	PUD
LD	Single-household detached dwelling with <12,000 sq. ft. of floor area; accessory dwelling units with up to 1,000 sq. ft. of floor area	Accessory Dwelling Units	Duplex dwelling buildings with <12,000 sq. ft. of total floor area	Single-household dwellings and duplex dwelling buildings with >12,000 sq. ft. of total floor area.	Duplex dwellings
MD	Single-household detached dwelling with	Accessory Dwelling Units	≤5-acres: Single-household attached	>5 acres: Single-household attached with 9-20 units;	Duplex residences; Multi-family residences

Zone District	By Right	Admin Review	1-Step	2-Step	PUD
	<12,000 sq. ft. of floor area; accessory dwelling units with up to 1,000 sq. ft. of floor area	Duplex dwellings	dwellings with 8 units or less	cottage housing; cohousing; multi-household with 20 units or less	
HD	Single-household detached dwelling with less than 12,000 sq. ft. of floor area; accessory dwelling units with up to 1,000 sq. ft. of floor area	Accessory Dwelling Units Duplex on parcels ≤5-acres	≤5 acres: Single-household attached dwellings; rooming houses; cohousing; cottage housing; RV, tiny home, yurt and other alternative living spaces (no more than 20% of total units)	>5 acres: Single-household attached; duplex; multi-household; cohousing; cottage housing; rooming house; RV, tiny home, yurt and other alternative living spaces (21% or more of total units)	Duplex residences; Multi-family residences
CH	Single-household detached dwelling with <12,000 sq. ft. of floor area; accessory dwelling units with up to 1,000 sq. ft. of floor area	NA	≤5 acres: Single-household dwellings, attached and/or detached; duplex; multi-household dwellings; rooming houses; RV, tiny home, yurt, and other alternative living spaces (no more than 20% of total units); cohousing; cottage housing	>5 acres: Single-household dwellings attached and/or detached; duplex; multi-household dwellings; rooming houses; RV, tiny home, yurt and other alternative living Spaces (21% or more of total units); cohousing; cottage housing; free-market (not deed restricted) dwelling units: a. Comprising 10% or less of the total units for a development that is not net zero on an annual basis; or b. Comprising 20% or less of the total units for a development that is net zero on an annual basis.	Free Market dwelling units comprising 11% of non net zero development or 21% of net zero development

Zone District	By Right	Admin Review	1-Step	2-Step	PUD
AH-PUD	Single-household detached dwelling;	NA	NA	NA	Duplex; single-household dwellings attached and/or detached; accessory dwelling units; multi-household dwellings; rooming houses; cohousing; cottage housing; live-work and mixed-use residential; RV, tiny home, yurt and other alternative living spaces
WMRR	Single-household detached dwelling (manufactured and mobile homes on permanent foundations)	Secondary dwelling unit(s)* with up to 2,000 sq. ft. of floor area	NA	Cohousing units	NA
WMLI	Single-household residential; Live/work dwelling Mixed-use residential	NA	NA	NA	NA
WMTR	Single-household detached dwelling (manufactured and mobile homes on permanent foundations); duplex	Secondary dwelling unit(s)* with up to 2,000 sq. ft. of floor area	Rooming House; Cohousing	Cottage Housing; multi-household	NA
F	Single-household detached dwelling; <12,000 sq. ft. of floor area, mobile home	Caretaker unit(s)*	NA	Cohousing units	NA

Zone District	By Right	Admin Review	1-Step	2-Step	PUD
HC	NA	NA	Affordable housing for persons employed on-site	Mixed-use residential	NA
I	Single-household detached dwelling	NA	NA	NA	Affordable Housing, accessory to a principal use, for persons employed within the PUD, and Live-work Housing; Mixed-use residential
PUB			Affordable Housing with at least 50% of the units reserved for employees employed on-site or for Essential Personnel		

Table 6: Current and Recommended Housing Type Allowances – No Substantive Changes Proposed

Zone District	By Right	Admin Review	1-Step	2-Step	PUD
LDR	Single-household dwelling on lots containing 35 acres or more, with a residence containing less than 12,000 sq. ft. of floor	NA	NA	NA	NA
R	Single-family dwellings	NA	NA	NA	NA
WMRA	Dwelling, Single-family (manufactured and mobile homes on permanent foundations); Secondary Dwelling Unit	NA	NA	NA	NA
PR	Single-household detached dwellings	NA	NA	NA	NA
PC	Single-household detached dwellings	Accessory Rental Dwelling Units for Persons Employed in the PC Zone District	NA	NA	NA
MH	Single-household detached dwellings; mobile home;		NA	NA	NA
MXD	NA	NA	NA	NA	Employee housing

*see LUC Section 5-307 and 5-319.2 for criteria for a second Caretaker or Secondary Dwelling Unit

2C. Expand Allowances for Mixed-Use Workforce Housing

Identified Barriers

Live/work units are currently defined in the code (Section 5-1305B.V) as “a multi-family structure located within the Low Intensity Industrial (I) Zone containing Affordable Housing dwelling units, and industrial space.” This definition could be expanded to include commercial, mixed-use, and higher density residential zones, with the option to house any workers in the R-1 Telluride School District area or larger region, rather than limiting to on-site employees only. The East End Master Plan currently recommends incorporating live-work units into Commercial/Industrial zones, as well as expanding opportunities to create live-work dwelling units as an accessory use in commercial development.

Recommendations

As the intention behind live-work housing is to allow workforce housing mixed in the commercial uses, it is recommended to replace the terms *live-work housing* and *live/work dwelling* with the term *mixed-use residential* and define the new term in Article 7 (see redlines for Section 2A in Appendix A). The existing references to live-work housing in the Wright’s Mesa zone districts should then be changed to mixed-use residential and the use expanded to include AHPUD, Commercial, and Industrial zone districts to house off-site workers. See *Table 7 and 8* in Section 2B for changes to use allowances and make the changes suggested below:

- Section 5-309D – PUD Use Allowances, references live-work housing as defined in 5-1305B – this reference should be changed to mixed-use residential.
- Section 5-319.2D.III Wrights Mesa Light Industrial zone district references live-work units and Table 5-319.2-3 lists live/work dwelling as a permitted use subject to compliance with additional regulations – these references should be change to mixed-use residential
- Section 5-1305B – Definitions, includes the term live-work housing which should be changed to reference Article 7 – Definitions.

2D. Expand ADUs Allowances

Identified Barriers

Although Accessory Dwelling Units (ADUs) are currently permitted in the higher-density residential districts through administrative approval, the County could strengthen this allowance by making them a by-right use and introducing incentives to encourage their development. The difference is that *by-right* allows the use outright with the application of a development permit and administrative approval requires submission of an application for review and decision by the Planning Director based on a standard set of criteria.

Additionally, the County could provide pre-approved architectural templates to reduce design costs as well as consider increasing the maximum size allowance for ADUs that are deed-restricted. ADUs would continue to be restricted from short-term rental use (less than 30 days), with the current provisions allowing them to be voluntarily deed-restricted in exchange for an Employee Housing Impact Fee credit.

Recommendations

It is recommended to allow ADUs by-right in the LD, MD, HD, CH, and WMTR zones. See *Table 7* in Section 2B. The floor area of ADUs should also be increased from 800 square feet to 1,000 square feet.

2d.2. Allow Bonus Caretaker Units

Identified Barriers

The F zone allows a caretaker unit of up to 2,000 sq. ft. on parcels that are larger than 35 acres, and on parcels that are 5-35 acres in the Telluride R-1 School District as Use Allowed Subject to Administrative Review. Caretaker units are prohibited in the San Miguel Canyon because most properties are small and on residential wells, which are restricted to one dwelling unit only. Domestic well permits, which are issued to larger parcels by the Colorado Department of Water Resources, typically allow up to three dwelling units. The code currently limits properties to two dwellings – the primary dwelling and the caretaker unit.

Similarly, the Wright's Mesa (1991) and WMRA (2010) zone districts allow a Secondary Dwelling Unit as a Use Allowed Subject to Administrative Review and subject to certain qualifications. The WMRA district allows 2500 sq. ft. and WM allows 2000 sq. ft., which is inconsistent.

There is the capacity to allow two Caretaker or Secondary Dwelling Units on properties with domestic well permits, or that are served by a water provider, in exchange for deed-restricting one or both of the units. Relief could also be given to deed-restricted units by allowing them to be located more than 300 feet from the primary residence.

Recommendations

It is recommended to expand the Caretaker or Secondary Dwelling Unit allowance in the F and WMRA zone districts to two units on properties already eligible to have that type of unit, subject to demonstrating that the property has a domestic well permit issued by the State Division of Water Resources for three units. It is recommended that at least one caretaker unit be deed-restricted and the process remain as administrative review due to approval criteria.

Additionally, it is recommended to allow caretaker and secondary dwelling units to be located up to 450 feet from the primary dwelling if such unit is deed-restricted.

2E. Incorporate Cottage Housing, Cohousing, and Tiny Homes

Identified Barriers

The current WMTR zone district includes cottage housing but other districts are silent on this housing type. Additionally, LUC Table 5-319.2-3 lists cottage housing as an SUP through a 2-step process; however, in LUC Table 5-319.2-4 and in the special use standards it is listed as "allowed by PUD", which is conflicting. One effective way to achieve middle density while maintaining existing community character is to allow for clustering of small units on a single parcel of land. Cottage housing typically includes smaller footprint homes for rent or condominium ownership, organized around common open space. Many communities have utilized this housing type to accommodate tiny home communities.

Rooming houses are allowed in CH, PR, R, AH-PUD, and WMTR but as discussed in Section 2A, there is a distinct difference between rooming houses and cohousing. Cohousing can help

provide housing options for local workers, seniors, and year-round residents by reducing individual housing costs through shared amenities and common spaces. It also fosters social connections, resource sharing, and a strong sense of community, helping maintain a stable resident population and preserving community character in areas often challenged by seasonal occupancy and housing affordability pressures.

Recommendations

It is recommended to expand the allowance of cohousing in the F, WMRR, AH-PUD, CH, MD, and HD zones, when the applicant has demonstrated sufficient water capacity to serve the additional units (see *Table 7* for specific redlines).

Tiny homes, RVs, yurts, and other alternative living spaces are currently allowed in the CH zone. Consider allowing these uses through a 1-step or 2-step process in the CH and HD zones when they will house members of the seasonal workforce.

Expand the use of cottage housing to more than the WMTR zone district to be allowed by a 1-step or 2-step process in the MD, HD, CH, and WMTR zones per *Table 7* of this report. Move the definition from LUC Section 5-319.2K to Article 7. Add cohousing standards to LUC Section 5-10 as well. See Appendix A for redlines to the specific cottage housing and cohousing standards that need to be moved to LUC Section 5-10: - Special Uses.

3. Options for Streamlined Application Procedures

3A. Implement a Streamlined Review Process for Affordable Housing

Identified Barriers

Developers expressed that the time-intensive application process is a significant disincentive to creating affordable units. Even the perception of lengthy processes can deter developers from creating affordable workforce housing development in San Miguel County. Many noted that it is difficult or impossible to build missing-middle housing, a strong community desire, without going through the PUD process, an unpredictable and non-transparent process. This additional layer of review increases costs through significant entitlement delays and uncertainty, discouraging private investment in workforce and affordable housing. In addition, the building season is short in San Miguel County since it depends on climate and weather conditions; therefore, prolonged or time-intensive application processes can eat into the building season and drive the price of construction above what would be feasible for developers to price units at affordable rates.

Current Process

The majority of residential development applications that would likely be used for workforce housing require going through the PUD process, which typically takes 18-36 months to complete. The County's current zoning framework establishes a clear, but often lengthy, review process for most higher-density residential zones that could accommodate affordable or workforce housing. The HD zone and workforce-oriented zones like CH and AH-PUD allow a broader range of housing types at 15-20 units per acre but still require multi-step review processes lasting 6 to 12 months or more. By comparison, residential development in single-household zones like F and WM is reviewed administratively and can move from application to approval in just 4-6

weeks. This imbalance underscores the need for an expedited review process for affordable and workforce housing to reduce permitting timelines in zones that may be able to support higher density and mixed-income development.

To alleviate these barriers and stay compliant with Proposition 123 requirements, the County adopted the Prioritized Housing Review program on June 3, 2026 with the following customizations to the minimum requirements:

- Increase rental housing AMI requirement from 60% AMI to 120% AMI, and for-sale housing from 100% AMI to 200% AMI
- Customize list of applications to those that are in the San Miguel County LUC
- Include a list of ineligible applications as well as those that are eligible
- Clarify that all other standards and procedures still apply to all applications

Recommendation

The County should track trends related to the number of successful Prioritized Housing Review applications annually, including number of applications, number of extensions needed, review times for each application, and level of affordability. The Prioritized Housing Review process should be posted clearly on the housing page of the County's website with affordable housing developers encouraged to submit eligible applications.

3B. Reduce Reliance on Planned Unit Developments (PUDs)

Identified Barriers

Nationwide, many communities are shifting away from the use of PUDs due to complexity in administering PUD standards, unpredictable standards, and lack of flexibility within the PUD approval. Traditionally, PUDs were used to "negotiate zoning" in exchange for community benefits, often resulting in mixed use developments, residential subdivisions with smaller lots or reduced setbacks, or unique developments that were not otherwise allowed by the land use code but met community goals. However, the initial approval process for PUDs is lengthy, and long-term enforcement of standards is tricky. Additionally, as communities evolve and new priorities emerge, amending PUDs has been difficult and lengthy. As a result, many communities are reducing their dependence on PUDs to meet community goals by revising zone district standards like minimum lot size and density and use allowances. The County's use of PUDs is a remainder from the 1980s and early 1990s, when the County first began seeing major developments.

San Miguel County's current PUD process is very lengthy, requiring multiple Planning Commission and Board of County Commissioner approvals, taking 18 months or more. The LUC contains standards for Insubstantial PUD amendments (LUC Section 5-1502), which can be approved administratively with sign-off by the BOCC, and Substantial PUD amendments, which are considered as a two-step process (LUC Section 5-1503). The threshold between Insubstantial and Substantial could be evaluated to determine if more changes could be considered administratively. That is outside the scope of this project.

The PUD-based zoning established in the late 80s and as envisioned by the 1989 Telluride Regional Area Master Plan has been fully utilized. All land zoned PUD-R has been rezoned. It would be appropriate to amend certain zone districts, especially the LD, MD and HD zones, to

eliminate the need for PUDs. The AH-PUD, LDR and MXD zones have specific purposes and as such, PUDs should remain the mechanism for approving development.

Recommendations

Implementing the recommendations contained in Sections 1 and 2 related to lot sizes and density increases, setback reductions, and adjusted use allocations would facilitate the removal of a PUD requirement for larger developments in the county

4. Regulatory Incentives for Affordable Housing Development

In addition to allowing greater residential densities where appropriate, incorporating various development incentives into zoning regulations is a tool for the County to encourage the development of affordable and workforce housing rather than requiring it. Development incentives can range from reduced site requirements, waived permitting fees, shared parking allowances, density and height bonuses, and expedited permitting procedures. Community members and developers alike have expressed interest in shifting away from restrictive requirements toward incentives, such as fee reductions, density bonuses, and expedited reviews, which make workforce housing more financially viable. The following recommendations apply only to qualifying affordable or workforce housing development applications.

4A. Establish Qualifying Criteria for Affordable Housing Incentives

Identified Barriers

If the County moves forward with enabling incentives for affordable housing such as density bonuses, clear affordability definitions and qualifying criteria must be established. These provisions should identify the level of affordability required for both rental and ownership housing, the period of affordability required, and whether to limit eligibility to housing serving the local workforce.

"Affordable housing" is already defined in Section 5-1305B of the existing code as "Residential dwelling units in the Telluride Region that are permanently deed restricted by the County's R-1 Housing Deed Restriction to limit use and occupancy to persons (and their families) who live and earn their livings primarily in the R-1 School District of San Miguel County, or such other deed restriction as approved by the BOCC."

Community members indicated that the current deed restrictions and overall process may not be working well, with many seasonal employees and new arrivals exempt from qualifying for deed-restricted housing. To qualify now by SMRHA standards, an ownership applicant must be either a current local employee, a retired or disabled local employee, or meet an alternative standard with income not exceeding 100% AMI. For rental projects, units cannot be rented to qualified tenants for less than 12 months. Qualified tenants must work a minimum of 1200 hours per year with a minimum of 40 hours in each of the last 8 months, and the majority of household income must come from employment from within the boundaries of the Telluride R-1 School District.

Recommendations

It is recommended to continue researching options for refining the definition of affordable housing to include seasonal workers as well. This will require coordination with the San Miguel Regional Housing Authority. Amendments to deed restrictions and covenants, and to Section 5-13, are outside the scope of this project.

5. General Code Structure Enhancements

Community members expressed a need for a clearer code and a more transparent process. Some want more clarity around the Community Housing zone, including its purpose, criteria, and where it applies. Others are looking for more predictable and transparent steps for applying to build affordable housing units. These improvements could extend across the entire code, using visual aids like graphics to explain concepts and standardized tables and definitions to support consistency.

Modernizing code structure by unifying tables and definitions, and expanding visual communication tools, makes the code more user-friendly for public and professional audiences. A clear, navigable land use code reduces errors, speeds up project approvals, and could potentially lower compliance costs. Improved code organization and presentation are proven best practices in housing affordability reforms nationally, helping local governments provide greater regulatory predictability while increasing opportunities for new and diverse housing supply.

To unify the code structure, the following measures are recommended to be implemented in the future as part of a more comprehensive LUC update:

- **Standardize definitions and terms.** Every term used within the code should be clearly defined and uniformly applied, supporting accessible and predictable enforcement.
- **Create consolidated use tables for all zone districts.** Land uses should be consistently listed and categorized, eliminating disparities and reducing confusion between different areas, such as Wright's Mesa compared to other parts of the county.

Example Use Table

Table 3.4: Schedule of Use Regulations										Use Standards
Use Type	RE Zoning District	R-1 Zoning District	R-2 Zoning District	R-3 Zoning District	O Zoning District	CBD Zoning District	C Zoning District	NB Zoning District	I Zoning District	
Residential Uses										3.06.3
Dwelling, accessory unit - ADU	P	P	P	P		P	P	P		<u>3.06.3B</u>
Dwelling, cottage cluster			P	P			C			<u>3.06.3C</u>
Dwelling, duplex			P	P			C	P		<u>3.06.3D</u>
Dwelling, single-family attached (up to 6 units)			P	P			C	P		<u>3.06.3E</u>
Dwelling, single family attached (7 or more units)			C	P			C	C		<u>3.06.3E</u>
Dwelling, single-family detached	P	P	P	P			C	P		<u>3.06.3F</u>
Dwelling, manufactured home			P	P			C			<u>3.06.3G</u>
Dwelling, micro-home			P	P			C	P		<u>3.06.3H</u>

- **Integrate a development standards matrix.** Presents key standards (including maximum zoned density, height limits, site area, coverage, and wall/fence standards) within a single, easy-to-read table for every zone, allowing direct comparison and clear expectations for future development.

Example Development Standards Table

Table 3.1 – Residential Dimensional Standards ⁽¹⁾				
	Zoning District RE	Zoning District R-1	Zoning District R-2	Zoning District R-3
Minimum lot area (sq. ft.)	43,560 sf	6,000 sf	4,000 sf for single-family detached dwelling unit	4,000 sf for single-family detached dwelling unit
Residential density (units/acre)	-	-	16 units/acre ⁽²⁾ for all dwellings, except for single-family detached	20 units/acre ⁽²⁾ for all dwellings, except for single-family detached
Min. front yard setback (ft.) ⁽³⁾	50'	15' 20' to garage	15' 20' to garage	15' 20' to garage
Min. side yard setback – interior lot (ft.)	50'	5'	5' 10' for multi-family dwellings	5' 10' for multi-family dwellings
Min. side yard setback – corner lot (ft.)	15'	15'	15'	15'

- **Improve code clarity with visual aids.** Enhance understanding of complex regulations by incorporating graphics, tables, charts, and illustrations to visualize setbacks, height limits, and permitted uses as applied within each zone district.

Example Development Graphic Illustrating Measurement of Dimensional Standards

RESIDENTIAL DIMENSIONAL STANDARDS

A: Min Lot area/unit E: Max. Building Height
 B: Min. Front Yard F: Min Lot Width
 C: Min. Side Yard
 D: Min. Rear Yard

